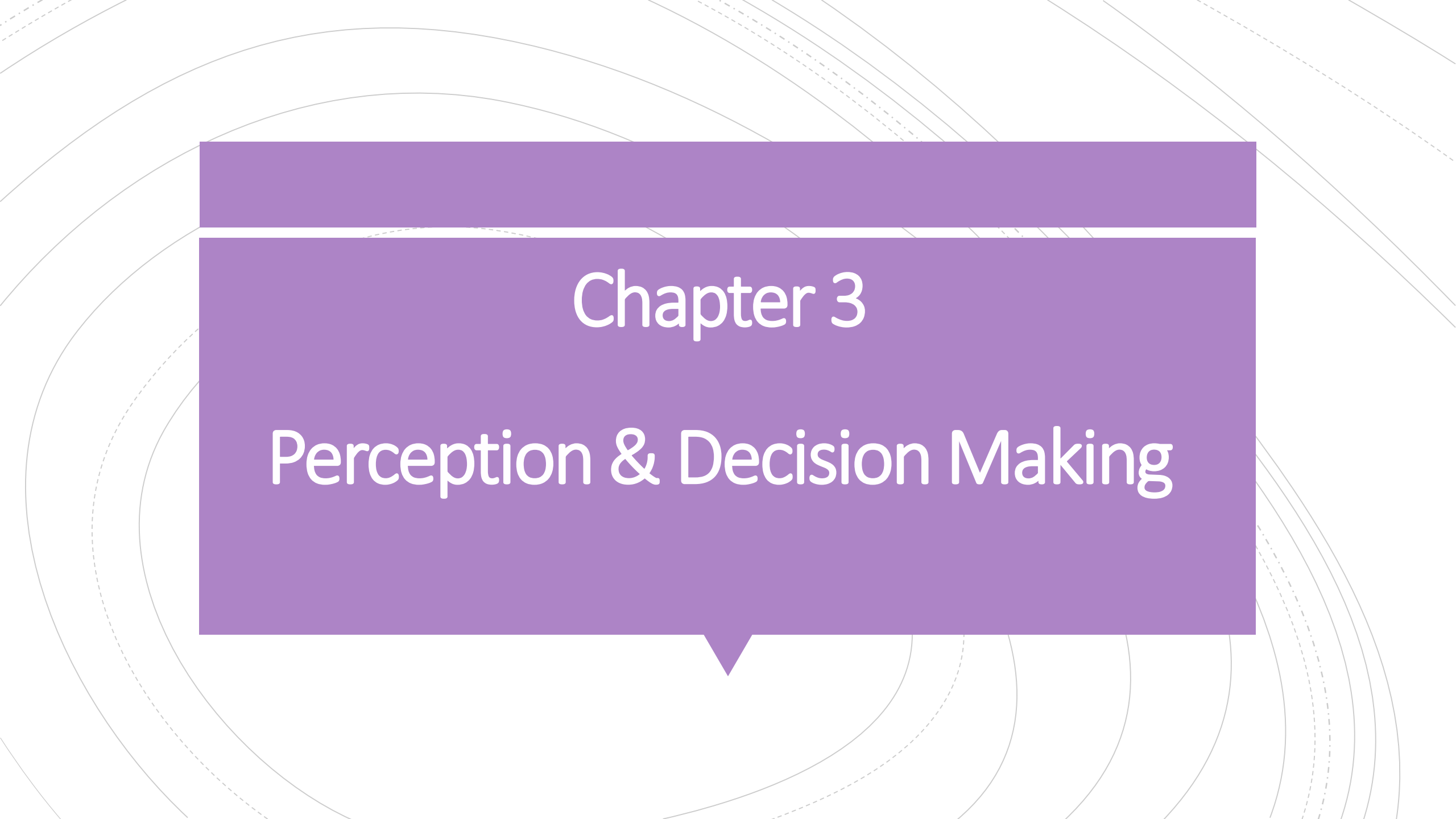


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Chapter 3

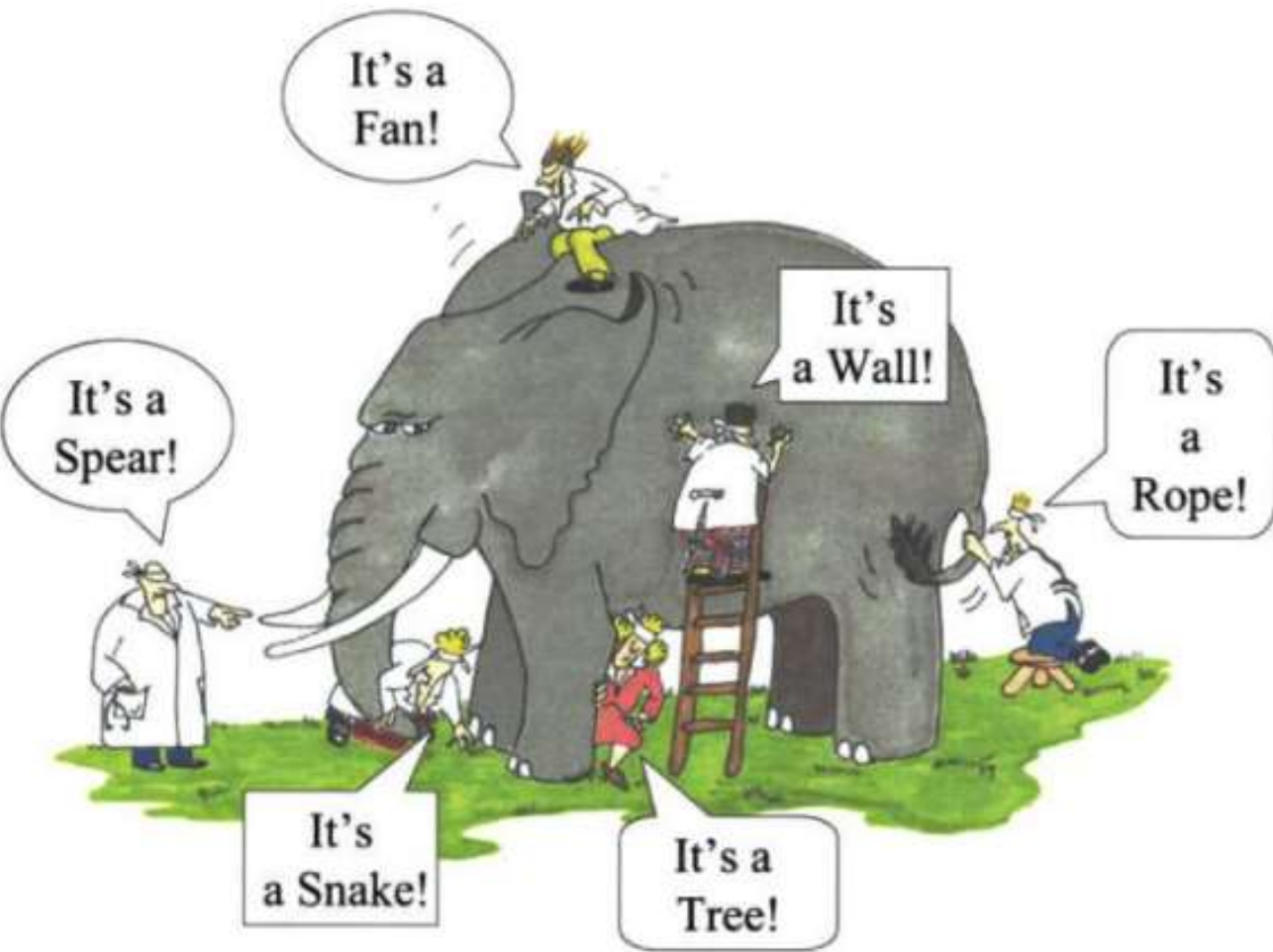
Perception & Decision Making

Perception

- is a process by which individuals **select, organize and interpret** their sensory impressions in order **to give meaning to their environment**.
- However, what we perceive can be substantially different from objective reality.

Stages of Perception





Why is perception
important in the study of
OB?

- because people's behavior is based on **their perception of what reality is**, not on reality itself.

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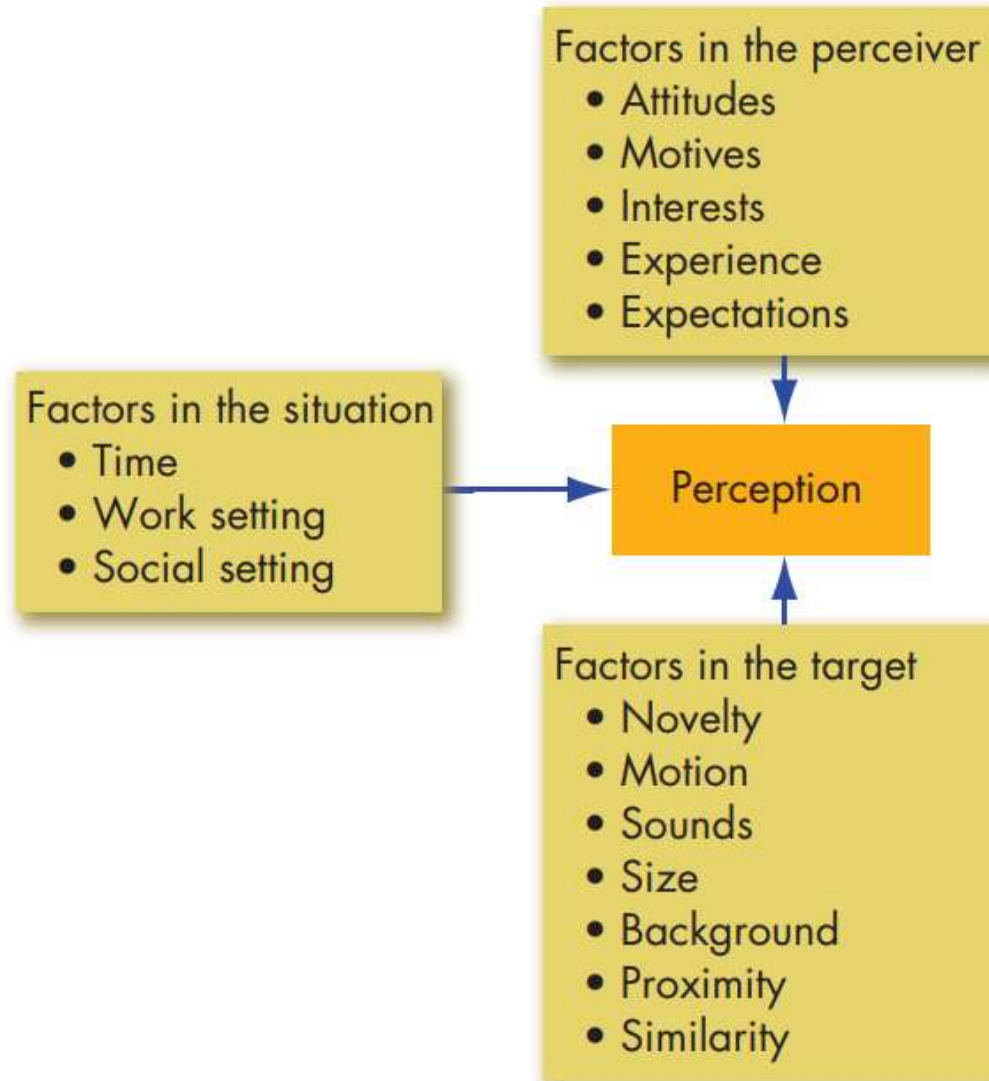
Mind the Gap Between Perception and Reality | Sean Tiffie | TEDxLSCTomball



- See how life can change when our perception changes..

Exhibit 6-1

Factors That Influence Perception



Factors Influencing Perception

■ 1. Factors Related to the Perceiver

- Attitudes, motives, interests, and expectations influence how stimuli are interpreted.
- Past experiences create mental frameworks that guide perception.
- Personality traits and emotional state affect sensitivity and judgment.
- People selectively perceive information that supports their beliefs, often ignoring contradictory cues, leading to perceptual bias.

Ex. A manager believes young employees are careless. When a young employee makes a small mistake, the manager immediately sees it as proof of irresponsibility, while ignoring the employee's overall good performance. The manager's **attitude and past experience** shape the perception.

Factors Influencing Perception

2. Factors Related to the Target (Object/Person)

- Physical characteristics such as size, appearance, motion, sound, and novelty attract attention.
- Contrast and background make targets more or less noticeable.
- Ambiguous or unclear targets allow multiple interpretations.
- Social cues like facial expressions and body language also shape how the target is perceived.

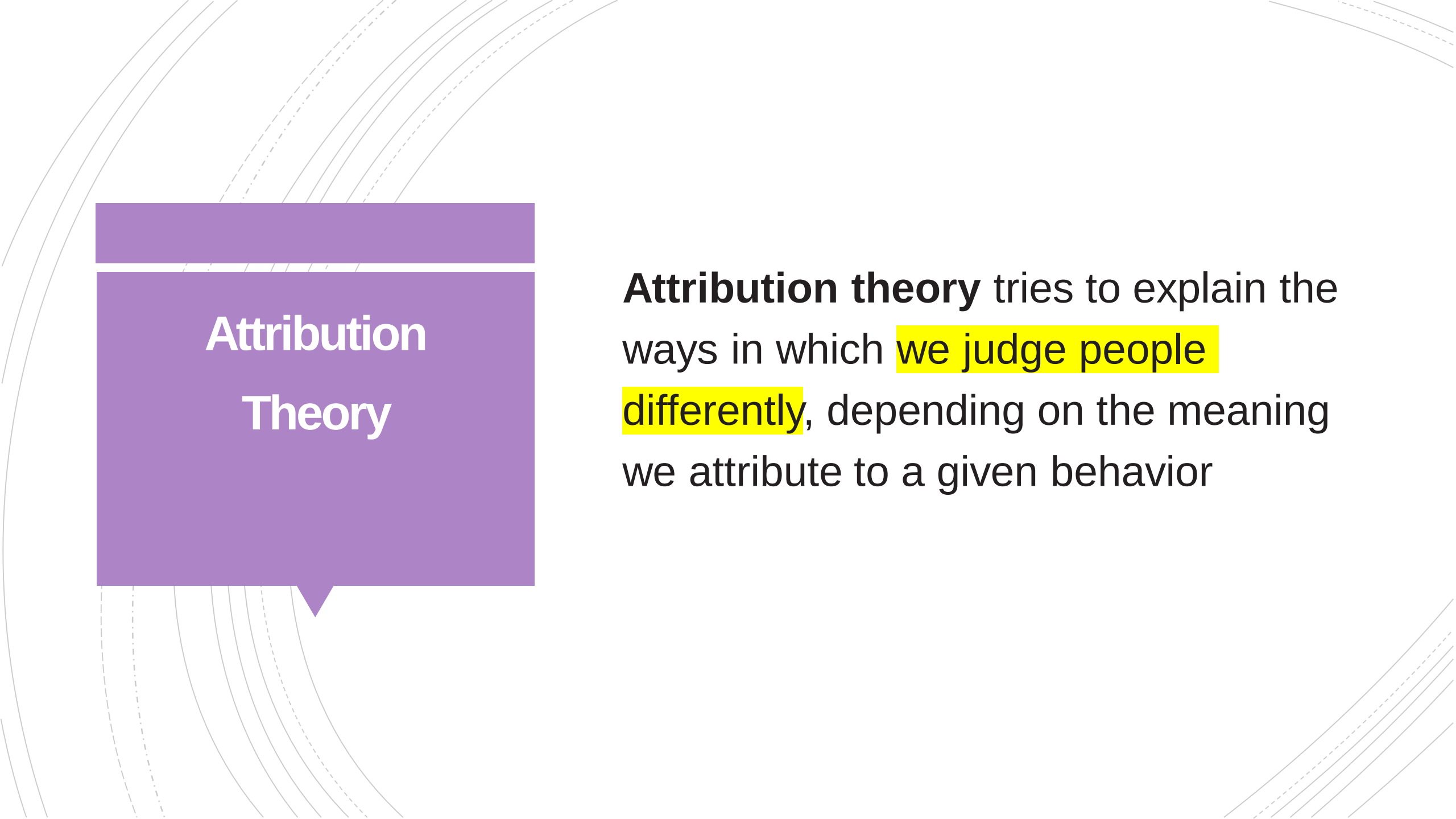
Ex. An employee who speaks confidently and dresses professionally during meetings is perceived as more competent than others, even when actual performance is similar. The employee's **appearance and communication style** influence how others perceive ability.

Factors Influencing Perception

3. Factors Related to the Situation

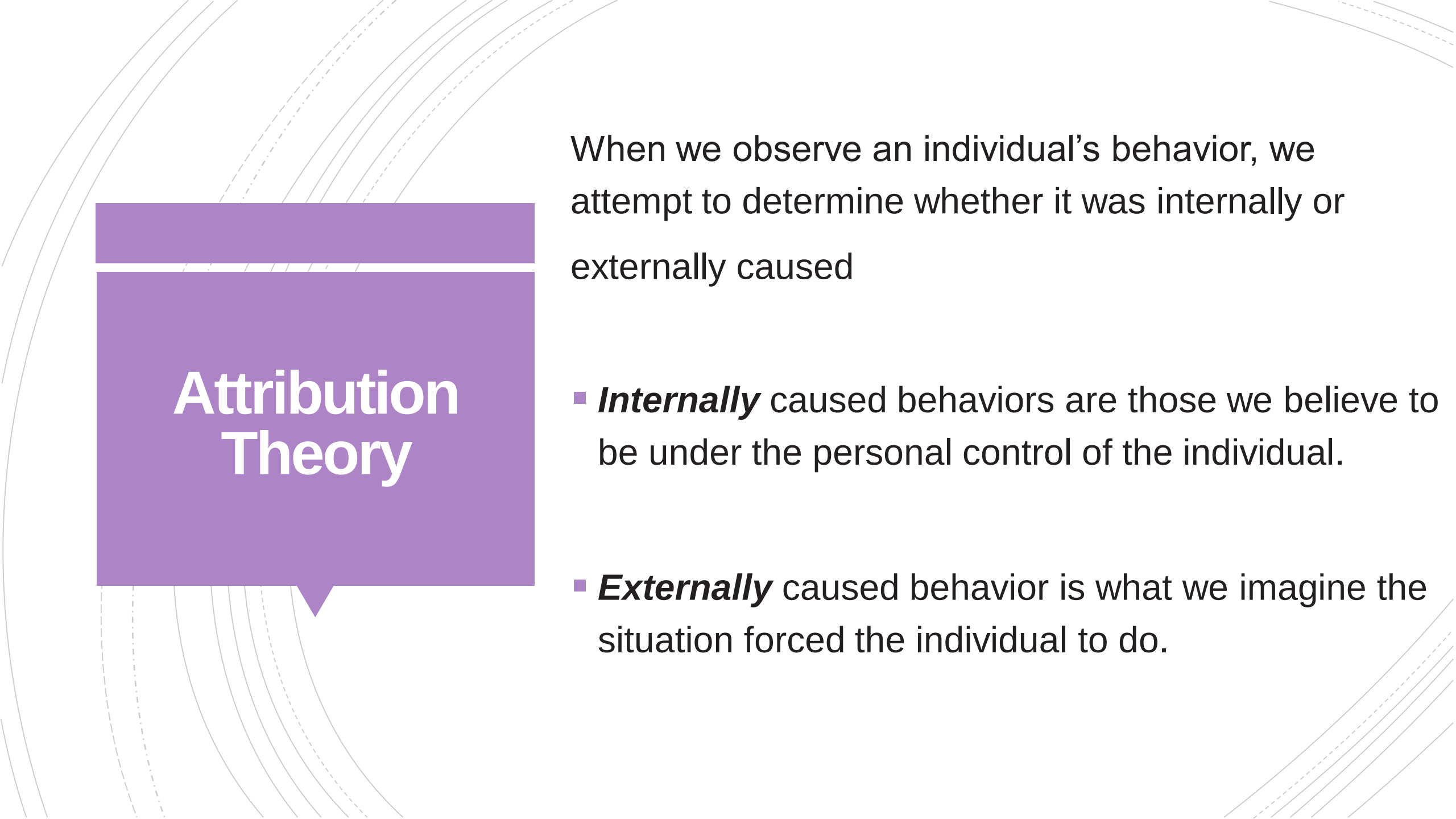
- Perception varies according to time, place, and social context.
- Work pressure, urgency, and environmental conditions influence interpretation.
- Organizational culture and norms frame meaning.
- The presence of others and situational expectations can alter how the same stimulus is perceived at different moments.

Ex. An employee submits a report with minor errors. During a high-pressure deadline week, the manager perceives the employee as careless and inefficient. The same errors, if noticed during a normal work period, would be viewed as minor and correctable. The **work pressure and timing** shape the perception.

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Attribution Theory

Attribution theory tries to explain the ways in which **we judge people differently**, depending on the meaning we attribute to a given behavior

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Attribution Theory

When we observe an individual's behavior, we attempt to determine whether it was internally or externally caused

- ***Internally*** caused behaviors are those we believe to be under the personal control of the individual.
- ***Externally*** caused behavior is what we imagine the situation forced the individual to do.

Attribution Theory

Attribution of a behavior to internal or external cause depends on three factors

- distinctiveness
- consensus
- consistency

Attribution Theory

- **Distinctiveness** refers to whether an individual displays different behaviors in different situations.

Is the employee who arrives late today is also one who regularly “blows off” commitments? What we want to know is whether this behavior is unusual. If distinctiveness is high ---→ External Attribution

- If everyone who faces a similar situation responds in the same way, we can say the behavior shows **consensus**.

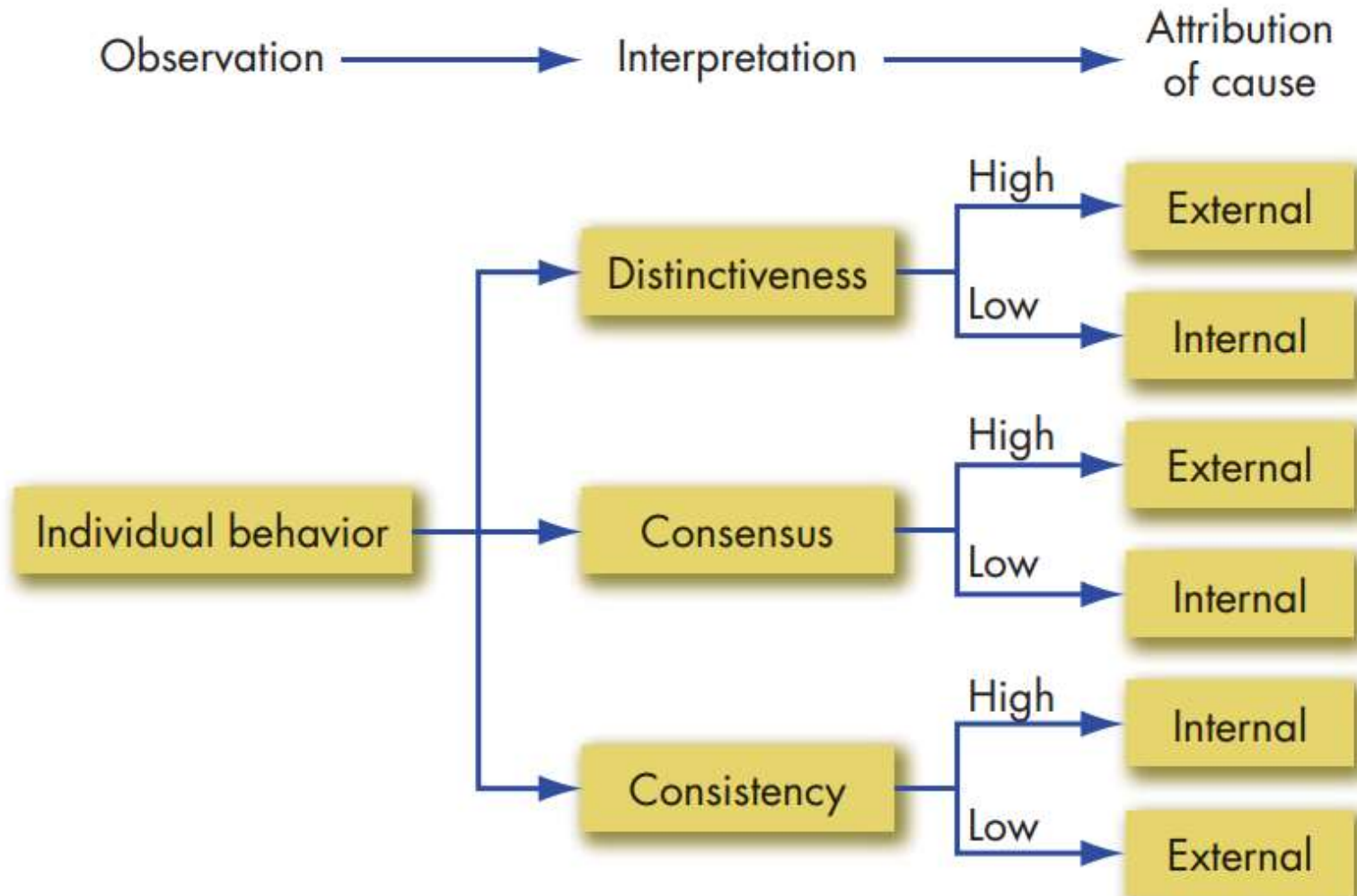
if consensus is high ---→ external attribution

- An observer looks for **consistency** in a person's actions. Does the person respond the same way over time?

more consistent the behavior---→ attribute it to internal causes

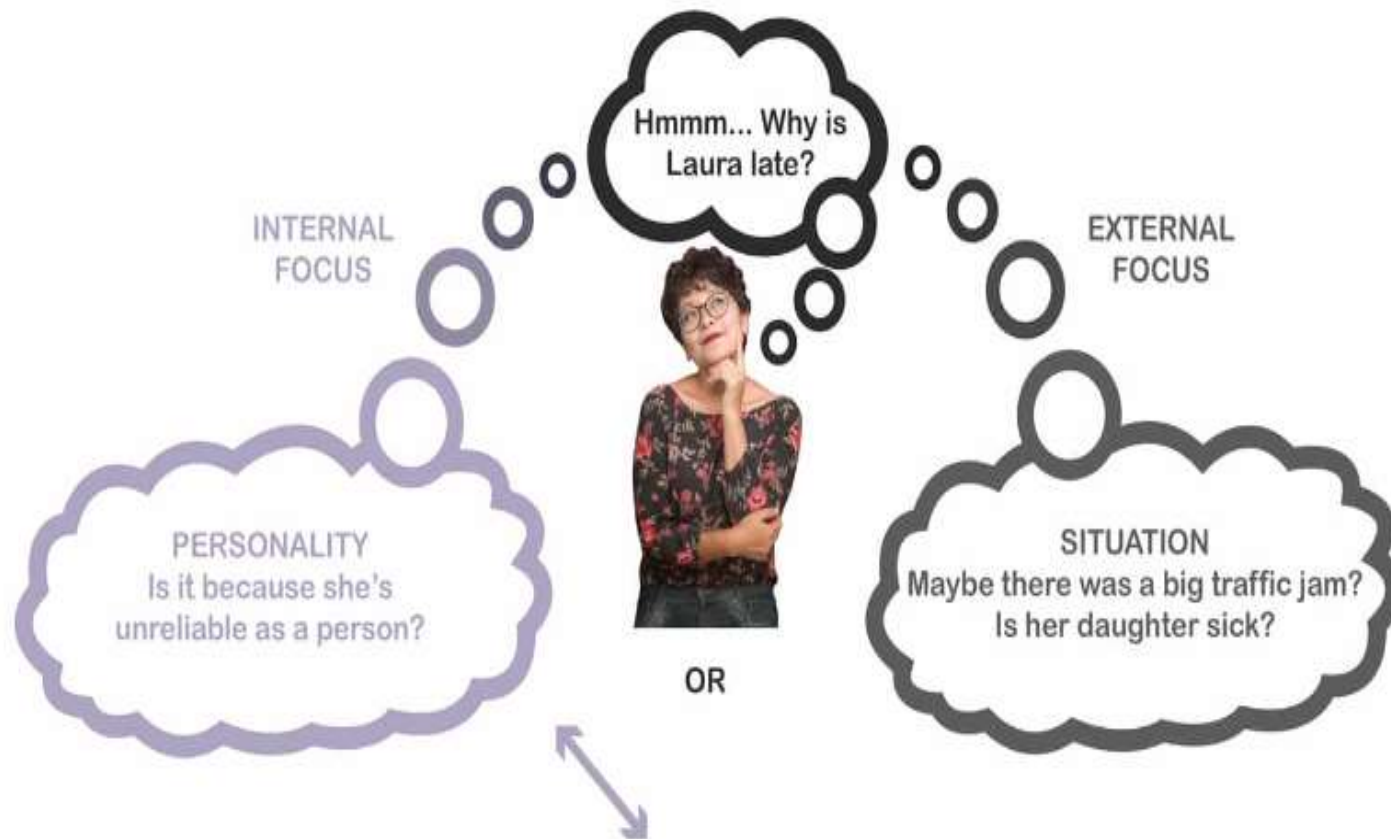
Exhibit 6-2

Attribution Theory

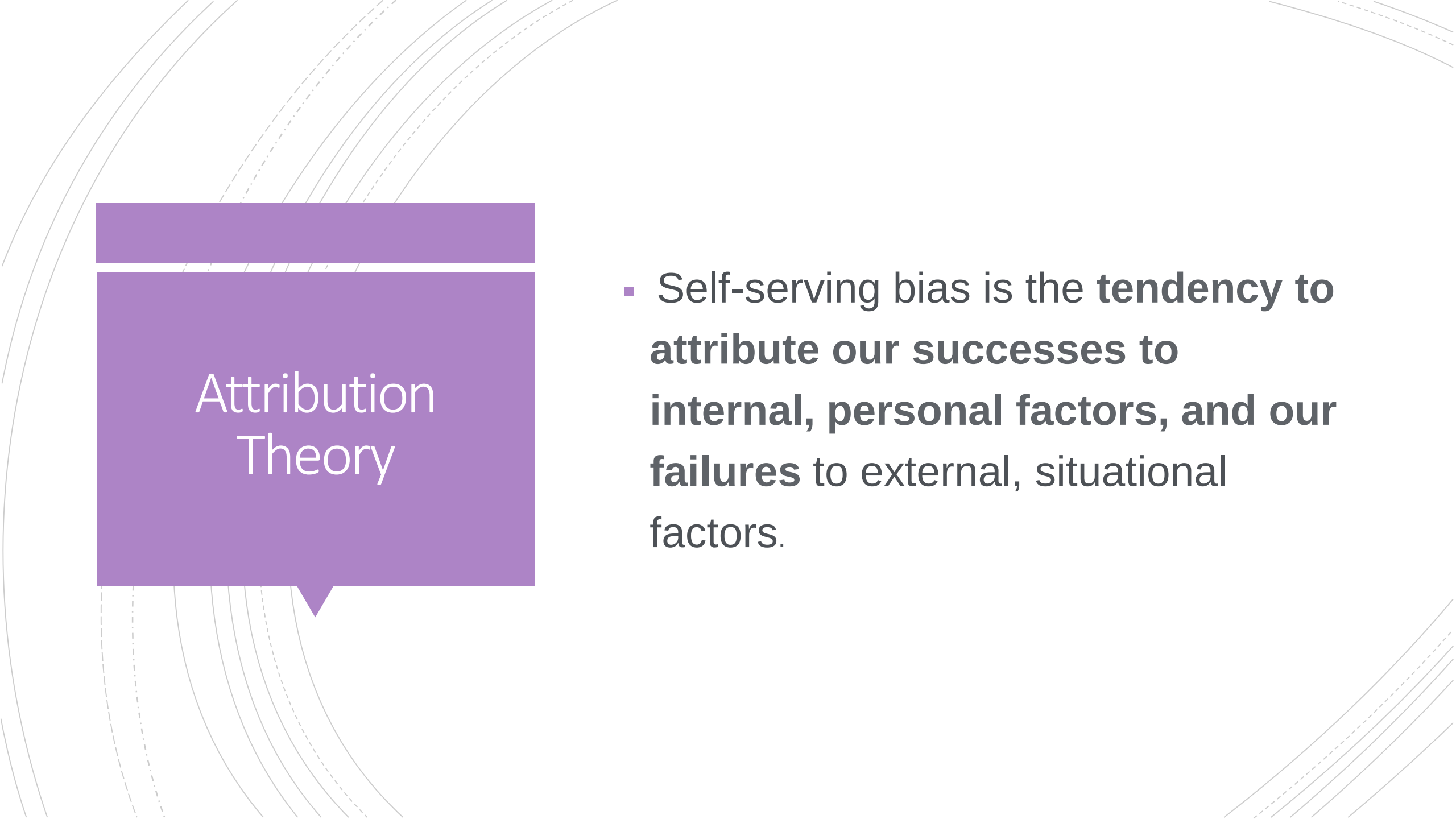


Attribution Theory

- **Fundamental Attribution error** - is the tendency for people to over-emphasize dispositional or personality-based explanations for behaviors observed in others while under-emphasizing situational explanations.

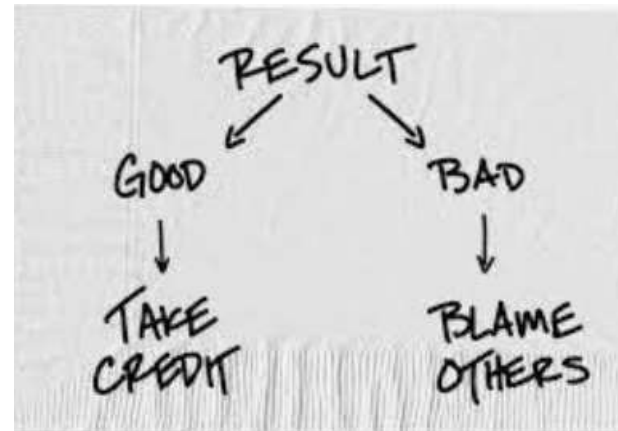


Ignoring influence of the situation & Attributing her actions to her character

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Attribution Theory

- Self-serving bias is the **tendency to attribute our successes to internal, personal factors, and our failures to external, situational factors.**



Attribution Bias

Office Manager



Manager takes full credit when employees succeed and do exemplary work for office

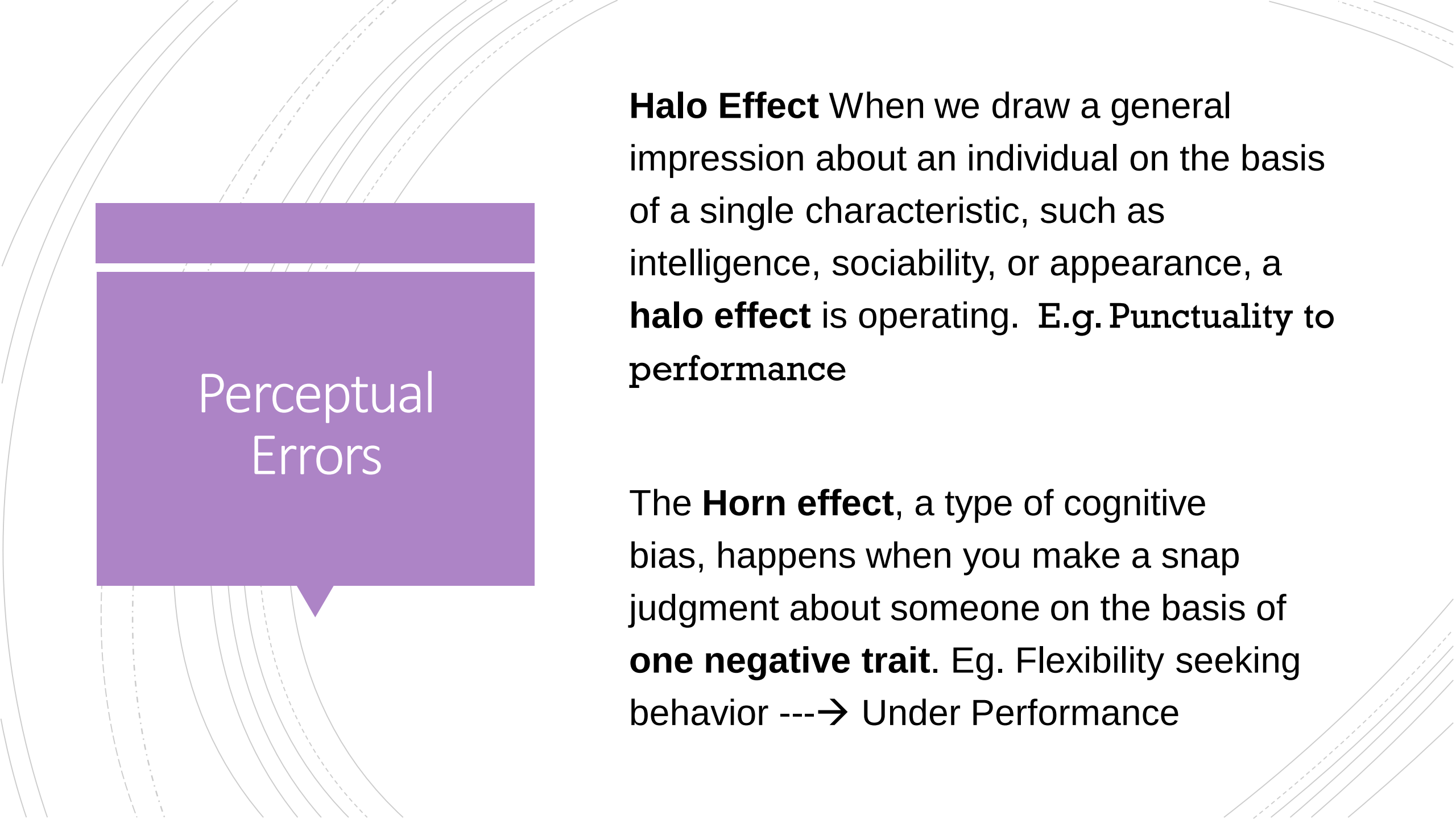


Manager blames the employee when they fail or underperform



Employee



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Perceptual Errors

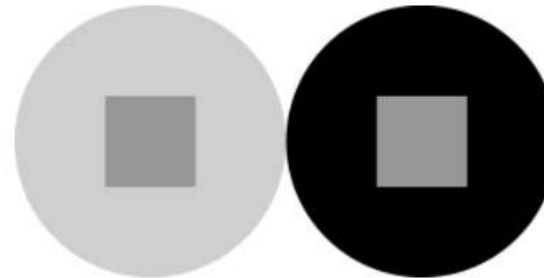
Halo Effect When we draw a general impression about an individual on the basis of a single characteristic, such as intelligence, sociability, or appearance, a **halo effect** is operating. E.g. Punctuality to performance

The **Horn effect**, a type of cognitive bias, happens when you make a snap judgment about someone on the basis of **one negative trait**. Eg. Flexibility seeking behavior ---→ Under Performance

Perceptual Errors

Contrast effect - Contrast effect is an unconscious bias that happens when two things are judged in comparison to one another, instead of being assessed individually.

- Our perception is altered once we start to compare things to one another. We tend to judge them relative to each other rather than on their own merit.



Source: [Research Gate](#)

In a series of job interviews, for instance, interviewers can make distortions in any given candidate's evaluation as a result of his or her place in the interview schedule. A candidate is likely to receive a more favorable evaluation if preceded by mediocre applicants and a less favorable evaluation if preceded by strong applicants.

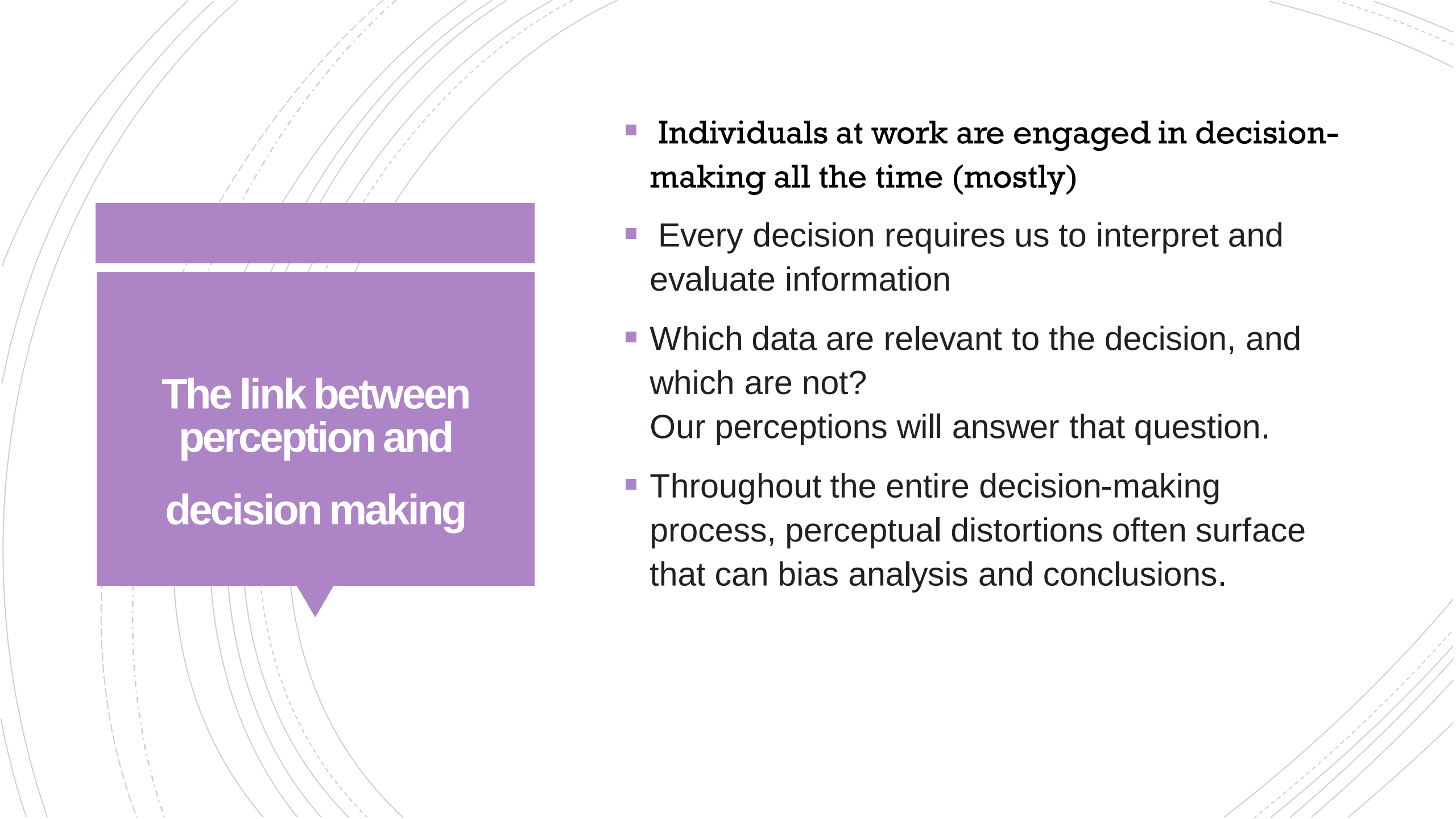
Perceptual Errors

- **Stereotyping** When we judge someone on the basis of our perception of the group to which he or she belongs, we are using the shortcut called **stereotyping**.



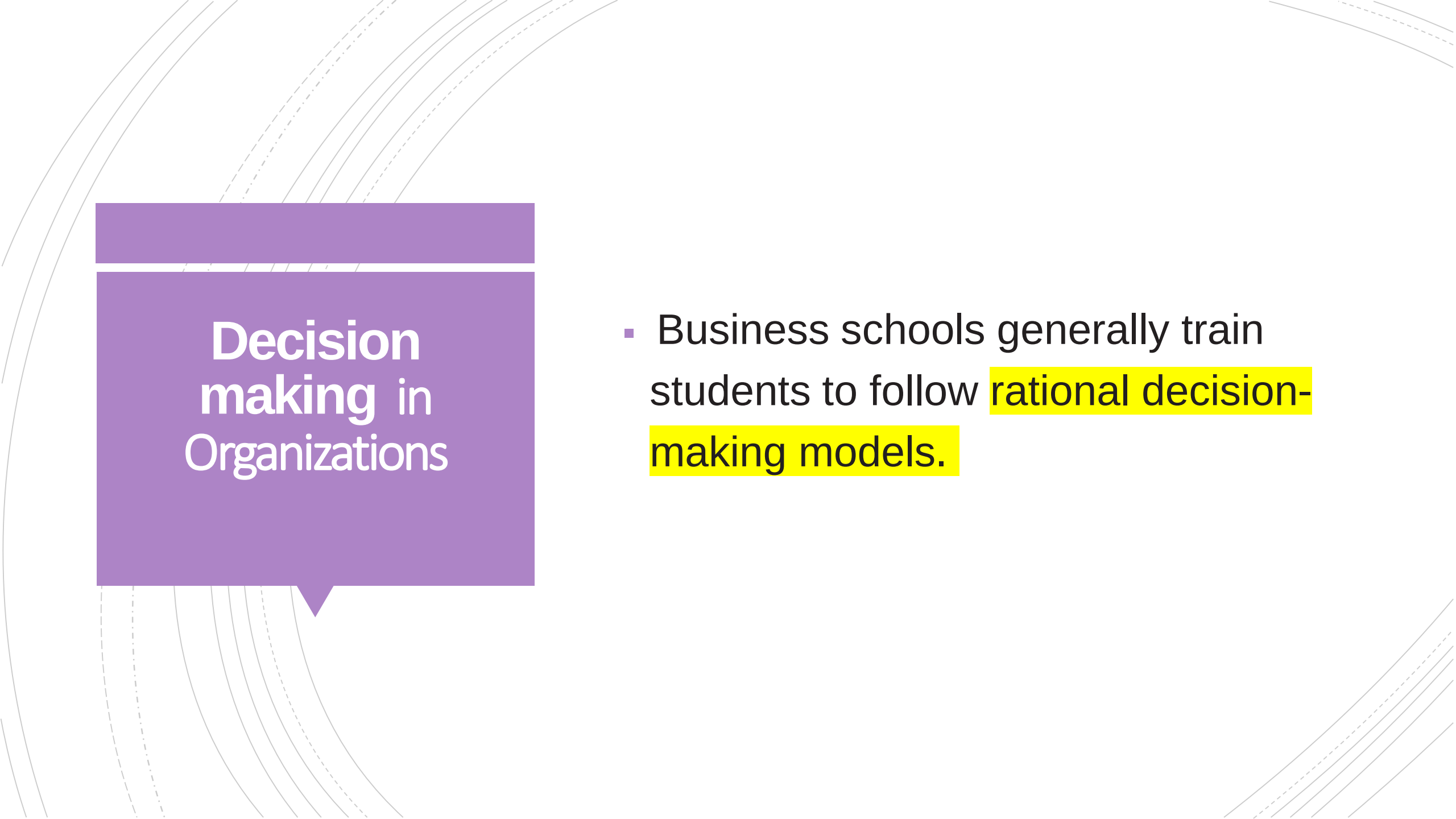
Gender Stereotypes at work

Source- [Article: SheMatters: Women who broke the stereotypes — People Matters](#)

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The link between perception and decision making

- Individuals at work are engaged in decision-making all the time (mostly)
- Every decision requires us to interpret and evaluate information
- Which data are relevant to the decision, and which are not?
Our perceptions will answer that question.
- Throughout the entire decision-making process, perceptual distortions often surface that can bias analysis and conclusions.

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Decision making in Organizations

- Business schools generally train students to follow rational decision-making models.

1. Rational Decision Making

- The rational decision-making model relies on a number of assumptions, including that the decision-maker has complete information.
- He/ She is able to identify all the relevant options in an unbiased manner and chooses the option with the highest utility
- **Uses a prescribed/ scientific way to reach the best alternative**
- **Usually difficult and less likely in real-world scenarios**

2. Bounded Rationality

- Our limited information-processing capability makes it impossible to assimilate and understand all the information necessary to optimize.
- So most people respond to a complex problem by reducing it to a level at which they can readily understand it
- Because the human mind cannot formulate and solve complex problems with full rationality, we operate within the confines of **bounded rationality**.
- We construct simplified models that extract the essential features from problems without capturing all their complexity.
- We can then behave rationally within the limits of the simple model.

3. Intuitive decision-making

- **Intuition** Perhaps the least rational way of making decisions is **intuitive decision-making**, an unconscious process created from distilled experience
- Emotionally charged decision
- While intuition isn't rational, it isn't necessarily wrong.
- Nor does it always contradict rational analysis; rather, the two can complement each other.
- Striking a balance is the key

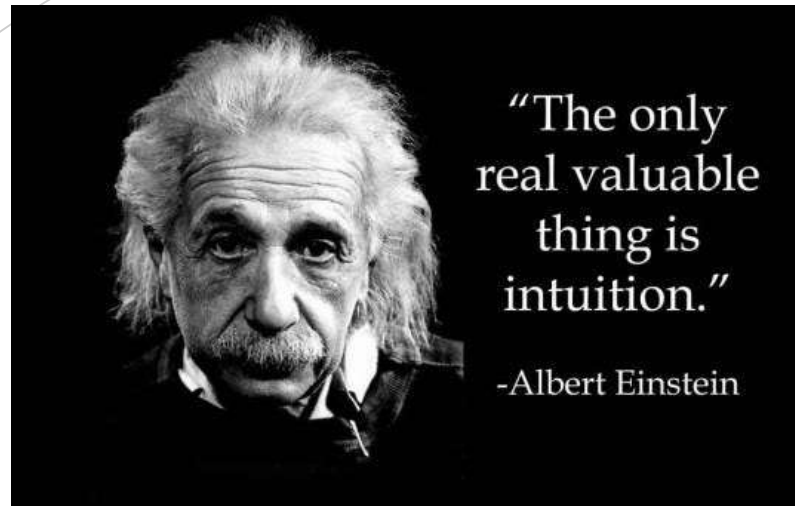
the feeling or understanding that makes you believe or know that something is true without being able to explain why

3. Intuitive decision-making

- Where does Intuition come from?
- Studies in psychology tell us that intuition is a very real process where the brain makes use of past experiences, along with internal signals and cues from the environment, to help us make a decision
- This decision happens so quickly that it doesn't register with our conscious mind.

Psychologists believe that intuition relies on powers of pattern-matching

Intuitive decision- making

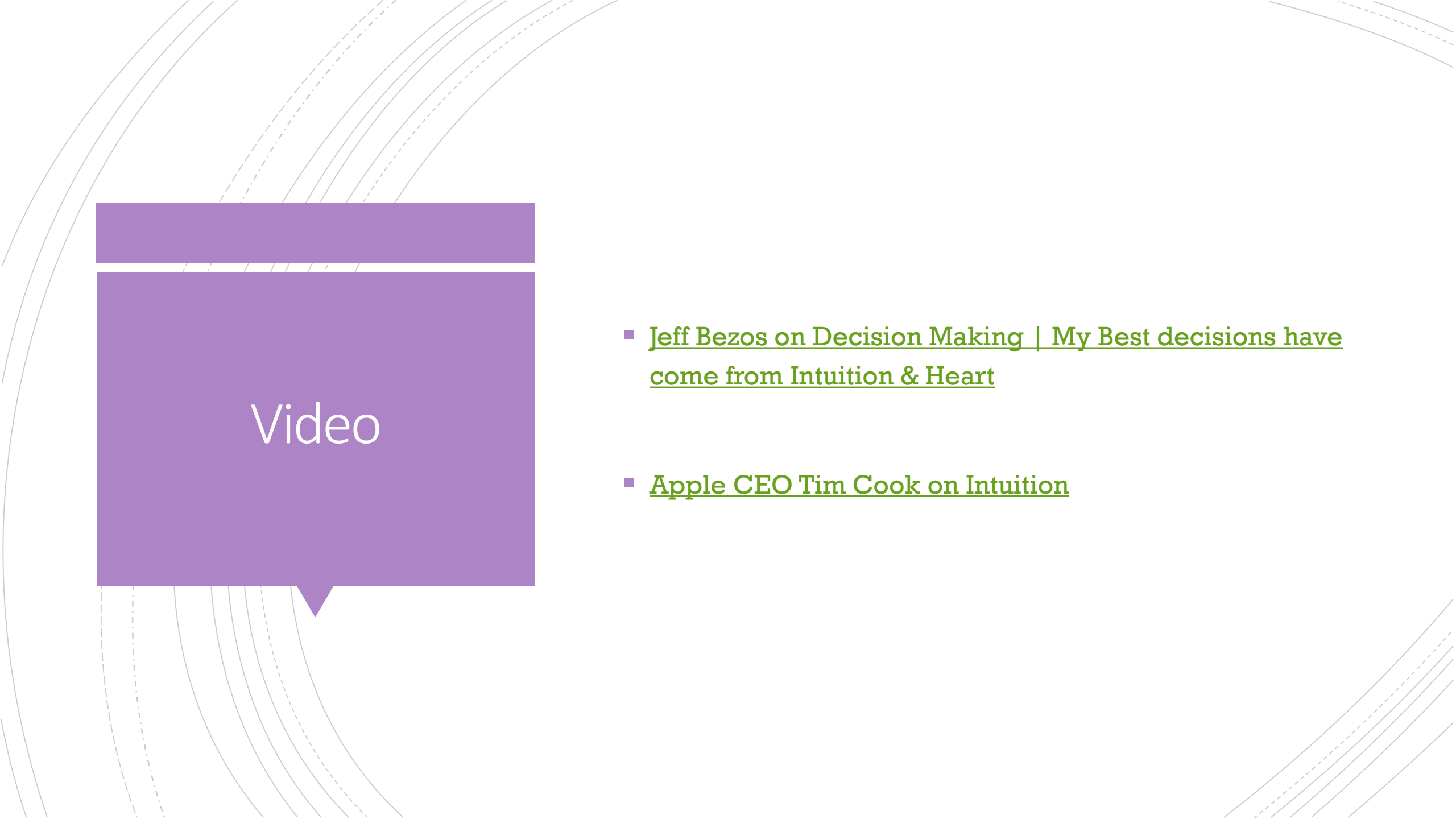


[Why Intuitive Leaders Are The Most Successful \(forbes.com\)](#)

[How 17 Women Leaders Learned to Trust Their Intuition - Thrive Global](#)



Source- [When to trust gut instinct..... Some principles to consider when making decisions in a workplace. – Anchor Point Mindfulness](#)

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Video

- Jeff Bezos on Decision Making | My Best decisions have come from Intuition & Heart
- Apple CEO Tim Cook on Intuition

Biases in Decision Making

1. Overconfidence Bias

It's been said that “no problem in judgment and decision making is more prevalent and more potentially catastrophic than overconfidence.”

When we're given factual questions and asked to judge the probability that our answers are correct, we tend to be **far too optimistic**.

E.g. : A manager launches a new product without market research because they believe their intuition is superior.

The failure occurs due to **excessive confidence in personal judgment**.

Overconfidence at work – proposing a timeline for a project -
→ stress to team and self

Biases in Decision Making

2. Anchoring bias is the tendency to rely too heavily on the first piece of information encountered when making judgments or decisions.

E.g. During salary negotiations, the employer first offers **₹40,000 per month**.

Even if the candidate deserves ₹55,000, negotiations tend to stay close to ₹40,000 because it becomes the anchor.



Biases in Decision Making

Examples of Confirmation Bias



Not seeking out objective facts



Interpreting information to support your existing belief



Only remembering details that uphold your belief



Ignoring information that challenges your belief

3. Confirmation bias represents a specific case of selective perception: **we seek out information that reaffirms our past choices**, and we discount information that contradicts them.

We also tend to accept at-face-value information that confirms our preconceived views, while we are critical and skeptical of information that challenges them.

E.g. - A manager believes that “older employees resist technology.” During training, they notice only the few senior employees who struggle and overlook many who adapt quickly, reinforcing the stereotype.

Confirmation bias

is the tendency to search for, interpret and recall information in a way that supports what we already believe.



Kodak – A case of Confirmation Bias



- **The Irony: Kodak's Own Invention**
- 📷 Founded in 1888, Kodak was a household name, and its products adorned shelves worldwide.
- However, the dawn of the digital age soon turned Kodak's world upside down. Surprisingly, it was **Kodak's own engineer, Steve Sasson, who developed the first digital camera prototype in 1975.**
- But Kodak's leadership, blinded by their faith in the enduring popularity of film cameras, **dismissed digital technology as a passing fad.**

Kodak – A case of Confirmation Bias

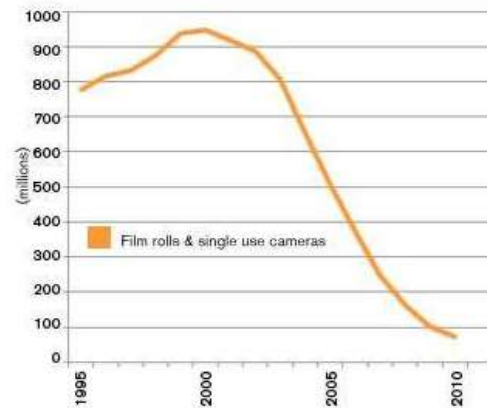
The Ill-Fated Decisions

Kodak's confirmation bias made them resistant to change, causing them to make several strategic missteps along the way.

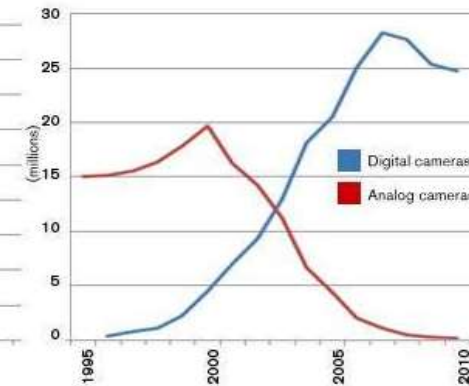
- Firstly, they underinvested in digital technology, believing that their film business would continue to thrive indefinitely.
- Secondly, they delayed the launch of digital cameras, allowing competitors like Canon and Nikon to capture the emerging market.
- Finally, Kodak failed to recognize the growing importance of online photo sharing. Eventually, missing out on the opportunity to dominate this new space.

Decline of Film

Film rolls sold



Camera sales



Kodak's decline due to confirmation bias (source)

Source-[The Curious Case Of Cognitive Biases - ICE Creates Confirmation Bias: Kodak's Downfall & Examples in Life | Tapan Desai](#) <Used for academic Purpose>



Kodak – A case of Confirmation Bias

The price of Confirmation Bias



Kodak filing for bankruptcy ([source](#))

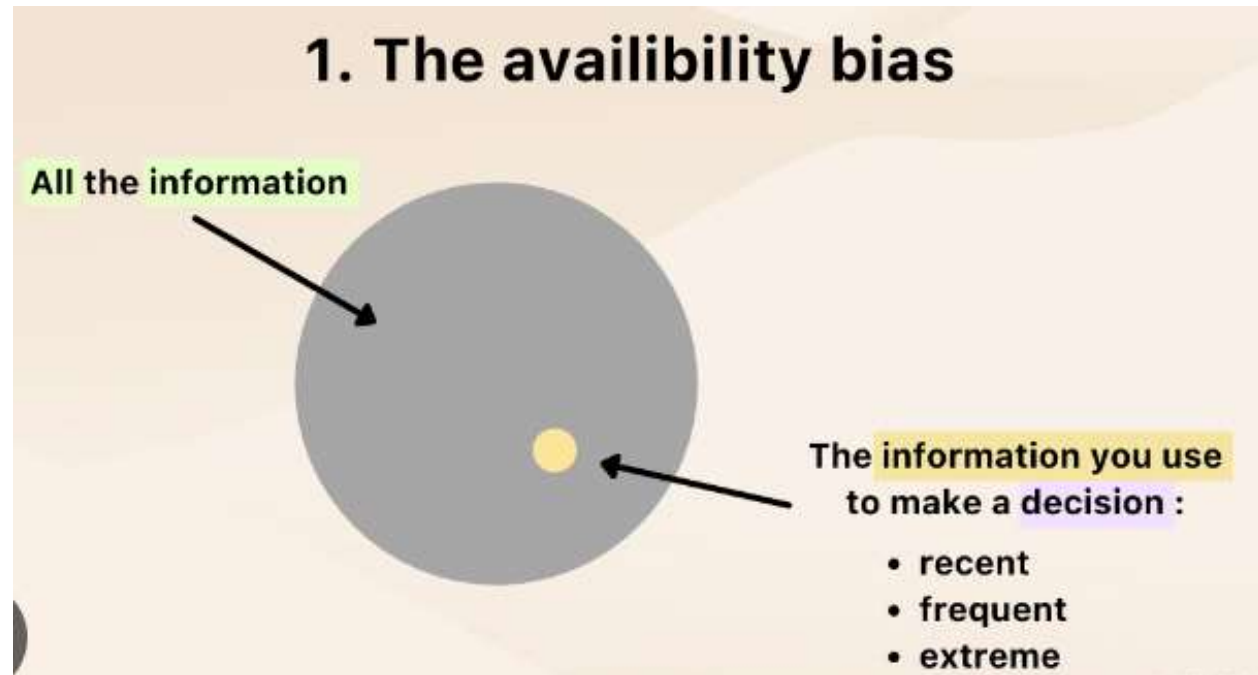


Source-[The Curious Case Of Cognitive Biases - ICE Creates Confirmation Bias: Kodak's Downfall & Examples in Life | Tapan Desai](#) <Used for academic Purpose>

Biases in Decision Making

3. The **availability bias** is our tendency to base judgments on information readily available (**objectively and also in memory**)

The availability bias can also, explain why managers doing performance appraisals give more weight to recent employee behaviors than to behaviors of 6 or 9 months earlier



Biases in Decision Making

4. Escalation of commitment refers to staying with a decision even when there is clear evidence, it's wrong

- Continuing with wrong product, wrong manager, wrong project etc.
- E.g. Family Business, Family Politics
- A way to prevent bad choices is to include a decision evaluator who does not have the emotional investment in the decision that the decision-maker does



Biases in Decision Making

5. Randomness Error : is the tendency to see pattern in random data/ events.

Decision makers suffer when they try to give meaning to random events

- Particularly when imaginary patterns/ random events are turned into superstitions
- Especially important for top managers

Biases in Decision Making

6. **Hindsight bias** : is a psychological phenomenon that allows people to convince themselves after an event that they accurately predicted it before it happened.
- Due to this error individuals do not prepare for future

Hindsight bias is thinking that events were more predictable than was actually the case.

